Skills Assessment



Examiner Report
Advanced Reporting & Performance

Term 4
2025

Skills assessment

Subject: Advanced Reporting & Performance

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Commentary on Performance

SECTION 1

Section 1 in an ARP assessment requires candidates to advise on accounting requirements for individual company, or in this case three separate companies, including preparing extracts from the financial statements.

The scenario put the candidate in the position of working for Fullward CA, a firm of chartered accountants, and the questions were based on three separate clients.

In this assessment, candidates had to advise on the accounting for two financial liabilities and the disclosure requirements relating to the significant of those financial liabilities. They had to construct the operating activities section of the statement of cash flows and finally advise on some events arising after the reporting period.

Question 1

Question 1 was based on Jiltz plc. Candidates were provided with information about two financial liabilities and needed to advise on the accounting treatment for these liabilities and provide journal entries to correct/record the transactions.

What was done well	What could be done better
• Many candidates calculated the finance cost using the effective rate of interest and correctly stated the adjusting journal. • Most identified that to eliminate an accounting mismatch the bonds should be measured at FVTPL. • Most candidates dealt with the bond issue costs correctly.	• Some candidates stated that the change in value should go to the OCI but then included SPL in the accompanying journal which is contradictory. • Many candidates did not produce narrative advice as part of the response. • A lot of time was wasted on calculations of closing values for both loan and the bonds.

Question 2

This question followed on from Question 1 and required candidates to advise on the disclosure requirements relating to the significance of the two financial liabilities. Candidates should have referred to IFRS 7 *Financial Instruments: Disclosures* when answering this question.

What was done well	What could be done better
• Some candidates identified that the need to separately disclose the carrying	• This requirement was poorly answered by the majority of candidates.

amounts of those liabilities measured at amortised cost and those at FVTPL.	• Many candidates simply referred to generic disclosure requirements instead of tailoring the response to the scenario in the question.

Question 3

Question 3 required candidates to construct the operating activities section of the statement of cash flows for another client, Wyndott Ltd. This question was completed using the excel template provided.

What was done well	What could be done better
• Candidates demonstrated a good knowledge of the approach to preparing the statement of cash flows. • Candidates laid out their statements of cash flows well. • Many candidates knew to adjusted for interest payable within other payables	• Some candidates erroneously started their statement of cash flows with operating profit rather than profit before tax. • Some candidates did not add back the finance cost to profit before tax. • Some candidates struggled with other payables and income taxes paid workings. • Some candidates didn't include workings which could have earned some marks even if errors were made.

Question 4

Question 4 concerned a client called Sillerline Ltd. Candidates were provided with information about four events arising after the reporting period and had to advise on the appropriate accounting treatment.

What was done well	What could be done better
• Recognition/identification of adjusting and non-adjusting events was good. • Most candidates identified that disclosures should be made where the impact is considered material.	• Some candidates did not specify if events were adjusting or non-adjusting. • Most candidates treated the insurance claim as contingent asset rather than accrued income as it was virtually certain to be received. • Some candidates noted that a loss allowance should be made for the customer entering administration, despite being told it was irrecoverable and should therefore have been derecognised.

SECTION 2

Section 2 in an ARP assessment is always based on a group scenario. Candidates are required to advise on one or more topics, to prepare consolidation workings and journal entries and to prepare an extract from the consolidated financial statements.

In this assessment, the consolidation included a foreign subsidiary, but some adjustments were also needed for a UK-based subsidiary. Candidates needed to use their consolidation adjustments to construct the consolidated statement of other comprehensive income.

Candidates had to advise on an investment planned for next financial period including the method used to include it in the consolidated financial statement and the accounting treatment at acquisition and following acquisition.

Question 5

Candidates had to prepare the consolidation journal entries for the foreign subsidiary and the UK-based subsidiary.

What was done well	What could be done better
• The majority of candidates correctly removed the intercompany loan balances. • Most candidate calculated goodwill correctly and used it to calculate the impairment. • Journals were done well in this question. • Many candidates laid out their workings and journals clearly, with appropriate subheadings for the different steps.	• Candidates often only used sterling values to calculate goodwill. The euro balance was also required so that the translation gain/ loss at the end of the year could be calculated. • Most candidates did not calculate NCI share of translation gain in Step 5. Of those who did, many posted the Dr to SPL rather than to OCI (as it related to the translation reserve). • Most candidates didn't use the correct profit figure in their pre-consolidation step. • Several candidates calculated translation movements but didn't state whether these were gains or losses. • Many candidates didn't number their journal entries which made their answers difficult to follow, particularly when preparing the financial statement extracts in Q6. • There were some exchange rate errors e.g. not using average rate for items in the SPL.

Question 6

Candidates had to construct the consolidated statement of other comprehensive income using the excel template provided and their consolidation adjustments from question 5.

Candidates could have referred to the proforma financial statements in IAS 1 when preparing their answer.

What was done well	What could be done better
• Many candidates did include the translation reserve, and the sub-title that it is an item that may subsequently be reclassified to profit or loss. • Many candidates included the total OCI heading and the amount.	• The majority of candidates struggled with this requirement and some appeared to confuse the statement of comprehensive income with the statement of changes in equity. • Some candidates included journals for the SPL. • Some candidates incorrectly added debits and deducted credits.

Question 7

Candidates had to advise on the appropriate method of accounting for the investment in the consolidated financial statement and how the investment, the expected loss and internal transactions would be accounted for.

What was done well	What could be done better
• The majority of candidates correctly explained why the planned investment would be an associate with suitable justifications. • Some candidates provided very good discussions re significant influence.	• Many candidates provided brief answers which did not provide enough detail to score well in part b). • Many omitted to discuss the significant influence over Klifftown. • Very little detail was provided on the accounting treatment for all elements: bargain purchase, initial investment, loss and sale of goods. • Many candidates explained that the unrealised profit needed to be eliminated, despite being told there will not be any unrealised amounts at the year end as all inventories have been sold.

SECTION 3

In the ARP assessment, Section 3 will focus on non-financial disclosures.

In this assessment, candidates advise on the disclosure of the remuneration of the highest paid director before advising whether an extract from the sustainability report about the workforce met the ESRS standard extract.

In this assessment, the ethics requirement was also in Section 3, although it can appear in any of the sections.

Question 8

Candidates were asked to advise why disclosure of the highest paid director was required, and what information should be disclosed.

What was done well	What could be done better
• Many candidates successfully identified who the highest paid director was. • Many candidates were able to construct a table that identified that the emoluments were over £200,000.	• Some candidates wasted time repeating information provided in the question. • Some candidates explained the ethical reasons why directors' emoluments should be disclosed rather than the statutory basis for the disclosures. • Part a) of this question was generally poorly answered and discussion of why the remuneration should be disclosed was limited. • Many of those who attempted a calculation to establish if the total remuneration was in excess of £200,000 included pension costs when these were not required.

Question 9

Candidates had to advise whether the draft sustainability report extract met the requirements of ESRS S1 *Own Workforce* including any improvements that could be made.

What was done well	What could be done better
• The majority of candidates made a good attempt at this question identifying the level of compliance with the various sections of ERRS S1-16 given. • Many of the candidates who scored well identified clearly each paragraph of the standard and then how/if the company had complied with it. The clear layout of the answer then lent itself to a more concise and correct response.	• Some candidates did not state a clear conclusion on compliance with ESRS S1-16. • Some candidates did not consider requirement 98 at all.

Question 10

Candidates were told that the managing director is trying to omit information to make the reporting on the gender pay gap look more favourable, despite knowing the requirements of the sustainability standards.

What was done well	What could be done better
• Many candidates identified the ethical issue correctly. • Those who scored highly here presented the ethical issue, and then clearly detailed each fundamental principle that was compromised in this scenario.	• Some candidates gave definitions of the ethical principles without relating these to the scenario. • Some candidates wrote the answer from their perspective and not that of the managing director as required per the question. • Some candidates identified that professional competence and due care was breached, despite it being clear in the scenario that the MD knew the correct treatment.

GENERAL COMMENTS TO CANDIDATES

- Number your journals as you prepare them, especially if you know you are going to be posting to an excel spreadsheet – this will mean a logical approach is taken and you will be less likely to miss a journal.
- The normal convention for journals is to put the debits first then the credits. Doing this in reverse can cause confusion.
- If asked to advise/explain etc, workings and journals are not a substitute for written narrative. Narratives can be brief but must be provided to score marks.
- Some candidates used the notes section in Cirrus to display workings; these should be included in the made body and clearly marked as workings.



CA House, 21 Haymarket Yards, Edinburgh, UK, EH12 5BH
+44 (0) 131 347 0100
connect@icas.com
icas.com

@ICASaccounting
ICAS – The Professional Body of CAS
ICAS_accounting
ICAS_accounting